

External Sector & Balance of Payments

CAD, capital account, forex and trade - economy - CA bridge.

Portion focus ~74% · Topic: econ-schemes

PYQ themes: Current account · Capital account · Forex · FDI/FPI · Depreciation

Why this portion (PYQ lens)

Portion chance ~74%. Recurring; parent econ-schemes ~79%.

Years appeared (synthesis): 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2023, 2024, 2025

Why UPSC asks this

BoP identities mix static with CAD news.

Syllabus framing

Portion chance ~74%. Recurring; parent econ-schemes ~79%. This portion sits inside econ-schemes and centres on external sector and BoP. BoP identities mix static with CAD news.

Recurring PYQ angles: Current account, Capital account, Forex, FDI/FPI, Depreciation. Approximate appearance years in the 2016-2025 educational synthesis: 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2023, 2024, 2025. Use the chance percentage only to sequence study hours - it is not an official prediction.

Core map of external sector and BoP

Current account: Goods/services + income flows. CAD: Current outflows > inflows.

Capital account: FDI, FPI, loans. BoP identity: Accounts balance with reserve changes.

Hold this core map as your elimination spine before memorising peripheral CA overlays.

Core concepts and definitions

Forex reserves: Insurance and intervention ammo. Appreciation/depreciation: External value of rupee.

NEER/REER: Effective exchange rate ideas. FDI vs FPI: Stable vs portfolio.

Institutions, processes and mechanisms

Trade balance vs CAD: Goods alone vs broader CA. Invisibles: Services/remittances cushion.

Convertibility: Current free vs capital caution. External debt ratios: Sustainability outline.

India angle and applied examples

RBI intervention: Buy/sell FX. Terms of trade: Export vs import prices.

Tariffs/quotas: WTO-aware wording. Oil/risk-off shocks: CA overlays.

Comparisons, linkages and discriminators

Remittances: Stability source. ECB/masala headlines: Light touch.

India angle

Track CAD/reserves headlines but answer from BoP structure first.

Question patterns and exam spine

Matching lists and multi-statement questions on external sector and BoP.

Revision spine: Definitions -> table -> India -> traps for external sector and BoP.

Eliminate anachronisms and category errors first, then test remaining options against table rows and must-remember triggers.

Trap watch-list (specific)

Avoid: Trade deficit always = CAD. Avoid: Depreciation always raises reserves. Avoid: FDI=FPI. Avoid: Full capital convertibility assumed.

BoP map

Bucket | Examples

Current -- Goods, services, remittances

Capital -- FDI/FPI/loans

Reserves -- RBI FX changes

Common traps

x Trade deficit always = CAD

x Depreciation always raises reserves

x FDI=FPI

x Full capital convertibility assumed

Must remember

- CAD definition
- FDI != FPI
- Depreciation sketch
- Reserves role
- Current convertibility

Quick revision checklist

[] Reproduce table

[] 5 must-remembers

[] 3 traps

[] India anchor

[] 10 MCQs

Educational prioritisation heuristic - not an official UPSC prediction. (c) UPSC IAS Study Hub original notes.